



NATIONAL JUNIOR COLLEGE

SH2 Preliminary Examinations for General Certificate of Education Advanced Level
Higher 2

ECONOMICS

Paper 2 Essays

9757/02

23 August 2021

2 hour 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A **or** B.

The number of marks is given in brackets [] at the end of each question or part question.

This document consists of **3** printed pages and **1** blank page.



NATIONAL JUNIOR COLLEGE
Economics Department

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

- 1 More Singapore food and beverage (F&B) businesses are now offering island wide delivery services. At the same time, online food delivery platforms are expanding choices and convenience.

Assess the impacts of these changes on the market for delivered F&B and its related markets. [25]

- 2 Luxury seafood restaurant chain Jumbo Group saw net profit rise to S\$11.7 million for the year 2019. On the other hand, Mr Ng, a fishball noodle hawker stallholder, disclosed that his net profit from selling a bowl of noodles at S\$3 was around 30 cents.
 - (a) Explain how the different features of market structure determine the different levels of profits between a luxury seafood restaurant chain such as Jumbo Group and a hawker stall such as a fishball noodle seller. [10]
 - (b) Discuss how the strategies adopted by a luxury seafood restaurant chain to increase its profits might differ from those of a hawker stall. [15]

- 3 All residents in the United Kingdom (UK) are automatically entitled to free public healthcare through the National Health Service. On the other hand, Singapore adopts a universal healthcare coverage through a mixed financing system with individual payments and subsidies from the government.
 - (a) Explain why a government intervenes in the market for healthcare. [10]
 - (b) Assess the economic case for the different approaches between the UK and Singapore governments in their healthcare markets. [15]

Section B

One or two of your three chosen questions must be from this section.

- 4 (a) Explain the possible causes of stagflation and why stagflation is undesirable for an economy. [10]
 (b) Assess the extent to which conflict in macroeconomic goals is the main factor affecting the choice of policies by a government to address stagflation in an economy. [15]
- 5 Singapore has overtaken the United States to become the world's most competitive economy. The city-state performed well in terms of macroeconomic stability and its labour market. Its strong macroeconomic performance places it among the most successful economies in the world.

Adapted from: *Forbes*, 14 October 2019

- (a) Explain the link between the labour market and macroeconomic stability of a country. [10]
 (b) Discuss the economic policies that might have resulted in Singapore achieving a strong macroeconomic performance. [15]
- 6 ~~The United States-China trade war has entered a dangerous new phase. Tariffs are up and there is the threat of more to come. At this point, it looks likely that the trade war will be long, messy and expensive.~~

Source: *Bloomberg*, 28 May 2019

- (a) Explain how protectionistic measures would affect trade. [10]
 (b) Discuss the extent to which protectionism would be beneficial to an economy. [15]

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